

Understanding Credit Score and Its Importance

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Introduction:

- ▶ What is a credit score?
 - A credit score is a three-digit number that comes from the information in your credit report.
 - A credit score is based on your credit history, which includes information like the number of accounts, total levels of debt, repayment history, and other factors. Lenders use credit scores to evaluate your credit worthiness or the likelihood that you will repay loans on time.
 - A credit score is a number that depicts a consumer's creditworthiness. FICO scores range from 300 to 850.
 - A credit score plays a key role in a lender's decision to offer credit and for what terms.
 - A credit score can significantly affect your financial life. It plays a key role in a lender's decision to offer you credit.

CANADA'S CREDIT SCORE AND ITS IMPORTANCE

According to Equifax, a good credit score is usually between 660 to 724 in Canada. If your credit score is between 725 to 759 it's likely to be considered very good. A credit score of 760 and above is generally considered to be an excellent credit score. The credit score range is anywhere between 300 to 900.

- Here are the general ranges for how credit scores are categorized:
 - Excellent: 800-850
 - Very Good: 740-799
 - Good: 670-739
 - Fair: 580-669
 - Poor: 300-579

ELIGIBILITY

How Canadians and Newcomers Use Credit Scores:

► Canadians:

When it comes to credit scoring systems, Canada is similar to the United States. Canada uses two of the major credit bureaus, Equifax and TransUnion, to determine someone's credit score. Like the U.S., Canada's credit score tracking is determined by factors including:

- Payment history
- Delinquencies
- Credit Balance
- Credit limits
- Recently opened accounts or applications
- Credit history
- Credit mix
- Total number of accounts

► Newcomers:

As a newcomer to Canada, you will quickly find out the importance of building a good credit score. Financial Institutions and other businesses will generally look at your credit score to determine whether to do business with you or how much money “to lend you”.

Equifax and TransUnion are the two main credit bureaus in Canada. Their job is to collect, store, and share information about how you use your credit. You are then given a credit score based on the following factors:

- Your payment history
- Your debt burden
- The length of your credit history
- The types of credit you carry
- Public records indicating bankruptcy or collection issues
- Recent inquiries into your credit

Methods And Strategies

To build a good credit score in Canada, there are several methods and strategies you can follow based on the search results.

1. Open a bank account: Opening a bank account is the first step in starting your credit history. It establishes a relationship with a reputable financial institution and starts a fresh credit file for you.
2. Get a cell phone and pay your bills on time: Some cell phone providers in Canada report payment history to credit bureaus. Paying your cell phone bill on time is a great way to establish a good credit history. Consider signing up for automatic bill payments to ensure you never miss a payment.
3. Get your first credit card: Your first credit card provides an opportunity to build credit. Pay off your balance in full every month and keep your credit utilization (balance to credit limit ratio) below 35% to maintain a positive credit score. Always pay your credit card bills on time to avoid negative impacts on your credit report. There are credit cards available specially designed for newcomers in Canada, as well as secured credit cards that report to credit bureaus.
4. Build a credit report and credit score: As a newcomer to Canada, you need to establish a credit report and credit score. Your credit report includes your details, credit accounts, payment history, bankruptcies, and more. Credit bureaus like TransUnion and Equifax generate credit scores based on the information in your credit report. The higher your credit score, the better your creditworthiness.

Methods And Strategies

Continue:

1. use credit responsibly: Use credit cards and loans responsibly by making payments on time and keeping your balances low. Avoid applying for multiple credit products within a short period as it can negatively impact your credit score.
2. Regularly check your credit report: Keep track of your credit report by checking it regularly. You can contact Equifax and TransUnion to get a free copy of your credit report without impacting your credit score. Check for any errors or discrepancies and report them to the bureaus for correction.
3. void fraudulent activities: Protect yourself from fraud by monitoring your credit accounts, changing passwords regularly, and reviewing where you keep sensitive information. If you suspect fraud, report it immediately and follow the necessary steps to resolve the issues.

Remember, building a good credit score takes time and consistency. Practice responsible credit use, make payments on time, and keep your credit utilization low to improve your creditworthiness in Canada.

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